

INDIAN ECONOMY

**LEVEL
II**



LECTURES

- GOLD HOLDINGS BY CENTRAL BANKS
- WAYS AND MEANS ADVANCES
- NPCI AND DIGITAL PAYMENTS

MODULE - 27



THE DOMINANCE OF DOLLAR IS ALL PERVASIVE!

5

Since the beginning of the new millennium, nearly 60% of the global forex reserves have been invested in US dollars.

4

The dollar alone accounted for nearly half of the total transactions in the forex market in 2021 and a distant second is the euro with a share of around 15-16%.

3

The dollar has always been the single most important invoicing currency.



1

As per a recent news report, the US Fed stated that more than 45% of dollar bills are held outside the US.



2

IMF data said that the dollar tends to play a significant role in exchange rate determination in 38 countries that do not have a freely floating exchange rate.

DOLLAR IS THE
MAIN STAY OF
GLOBAL
TRANSACTIONS!

WHY THE CENTRAL BANKS ARE INCREASING THE GOLD RESERVES?



- It is to diversify the foreign exchange reserves.
- Gold is a finite asset and not like paper currency.
- The volatility of gold price is normally less.
- It increases the country's standing in the global arena.
- Sometimes it has a negative correlation with the dollar, which means its value often rises when there's a dip in global demand for the U.S. currency.
- The metal also tends to react to changes in supply and demand less than other commodities.

WAYS AND MEANS ADVANCES



- It is a facility for both the Centre and the States to borrow from the RBI.
- These borrowings are meant purely to help them to tide over temporary mismatches in cash flows of their receipts and expenditures.
- They are not a source of finance.
- Section 17(5) of the RBI Act, 1934 authorises the Central Bank to lend to the Centre and State Governments subject to their being repayable "not later than three months from the date of the making of the advance".

CLARITY ABOUT VARIOUS WAYS AND MEANS ADVANCES

1

SPECIAL WMA OR SPECIAL DRAWING FACILITY (SDF)

- It is provided against the collateral of the Government securities held by the state.
- The interest rate for SDF is one percentage point less than the repo rate.

**2**

NORMAL WMA

- After the state has exhausted the limit of SDF, it gets normal WMA (clean advances).
- The number of loans under normal WMA is based on a three-year average of actual revenue and capital expenditure of the State.
- Interest rate on WMA is the RBI's repo rate.

3

OVERDRAFT

- The Governments are allowed to draw amounts in excess of their WMA limits also.
- The interest on such overdraft is 2% points above the repo rate.
- A State can be in overdraft for 21 consecutive working days and 50 working days during a quarter.

WHAT WAS THE ORIGIN OF NPCI?

- The origin goes back to 2008.
- Six public sector banks and four private sector banks came together.
- RBI and Indian Banks Association setup NPCI as a consortium of these banks.
- It is the umbrella entity for digital payments.
- It is not-for-profit entity.
- It is not under the RTI Act.
- It devised several digital payment initiatives.



NEW UMBRELLA ENTITY (NUE)

- Presently, NPCI is the only entity for payment systems in India. It has monopoly over UPI, AEPS, RuPay, FASTag etc.
- Hence, to create an alternate mechanism and increase competition, RBI proposed New Umbrella Entities (NUEs).
- It is expected to ensure reduction in the concentration of risk i.e., diversify the risk.





भारतीय राष्ट्रीय भुगतान निगम
NATIONAL PAYMENTS CORPORATION OF INDIA



SOME OF THE PRODUCTS FOR FINANCIAL INCLUSION BY NPCI

- Card payment scheme – RuPay
- Immediate Payment Service (IMPS)
- Unified Payments Interface (UPI)
- National Electronic Toll Collection (FASTag)
- Aadhaar Enabled Payment System (AEPS)
- Bharat Bill Payment System (BBPS)
- National Financial Switch (NFS)
- Cheque Truncation System (CTS)
- e-RUPI

RuPay 



WHAT ARE THE WAYS OF FUNDING INFRASTRUCTURE PROJECTS?

**1**

Through the issue of
long-term bonds

This is the best way to mobilise money from markets, but in India the long-term bond market has not deepened.

**2**

Through the Development
Finance Institutions (DFIs)

With the concept of universal banking, the then available DFIs like ICICI, IDBI (meant for industrial financing needs) were converted to banks. Hence DFI mechanism was not developed.

**3**

Through the Banking
System

... But it leads to Asset Liability Mismatches and banks do not have proper credit appraisal mechanisms.

**4**

Through the
Government funds



सत्यमेव जयते

IN A NUTSHELL, WHY THE DEBT MARKET HAS NOT DEEPENED IN INDIA?



7 Lack of trust on credit rating agencies due to the principle of “issuer pays” further inhibits the growth of the bond market.

6 Incidents like IL&FS default further dampens the system.

5 The ecosystem of buying / selling not developed.

4 Majority of the bonds issued by companies are privately placed with select set of investors rather than through the public issues.

GOVERNMENT BONDS & GOVERNMENT PLAYERS!

1 It is dominated by trading in Government bonds and banks / insurance firms are the major players.

2 Bonds by Indian companies are not traded much, hence becomes illiquid.

3 FPIs are one of the prominent buyers of top-rated bonds, but most of these investors do not trade, and hold these investments until maturity.



INDIAN BANKING SYSTEM ... IMPORTANT ASPECTS / MILESTONES

THE JOURNEY
OF THE BANKS
IS
CONSIDERED A
MIXED BAG!

5

The sequential order with regard to the Bank Lending Rates over the past 25 years

- Prime Lending Rate ... 1994
- Benchmark Prime Lending Rate ... 2003
- Base Rate ... 2010
- Marginal Cost of Funds Based Lending Rate ... 2016
- External Benchmark ... 2019

4

DICGC Insurance Cover was enhanced to Rs. 5 lakh and in independent India, majority of the bank failures are of cooperative banks.

1

During the previous decade, the share of the Government stake holding increased substantially in several public sector banks due to heavy capital infusion by the Government.

2

The share of the private sector banks in total business increased substantially during the past ten years.

3

NPAs skyrocketed in Public Sector Banks during the previous decade subsequent to massive financing to the infrastructure sector. It resulted in huge losses subsequently.

The concept of External Benchmark was introduced with a view to ensure proper monetary transmission.





INDIAN BANKING SYSTEM ... IMPORTANT ASPECTS / MILESTONES

10 India has three Domestic Systemically Important Banks (D-SIBs) i.e., SBI, ICICI Bank and HDFC Bank. They are monitored with higher capital requirements in comparison to other banks. India has no G-SIBs.

9 LIC is the second largest shareholder in the Public Sector Banks put together.



6 The interest rates on various Small Savings Schemes are generally higher than the Fixed Deposit interest rates of banks and to some extent, this affects the bank deposits.

7 In 1990, rural areas accounted for 15% of deposits and 24% of credit in the banking system and both fell to around 10% in 2021.

8 Public Sector Banks are in the forefront in financial inclusion programmes, like PMJDY.



SBI



ICICI Bank



HDFC BANK



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